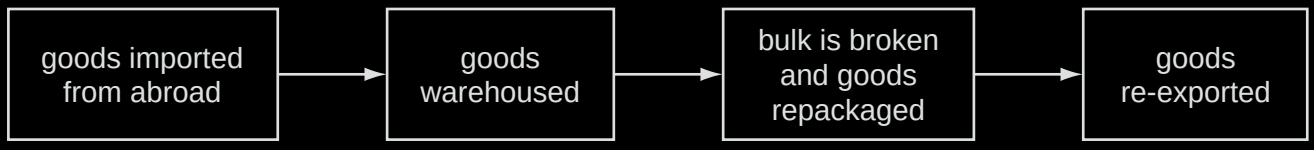
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What type of trade is shown?

A barter

B entrepôt trade

C free trade

D home trade

8 Mr X purchased watches at $5000 from Mr Y and received an invoice for the amount due. Later, Mr Y sent Mr X a credit note for $1000.

How much does Mr X now owe Mr Y?

A $1000 **B** $4000 **C** $5000 **D** $6000

9 Which term is given to the difference between a trader's buying price and selling price?

A commission

B gross profit

C mark-up

D rate of turnover

10 A night safe is used for the safe-keeping of

A cheque books when they are not in use.

B jewellery and important documents.

C money collected after banking hours.

D money deposited during the day.

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A EXPERIENCE OUR COMMITMENT TO EXCELLENCE AT XY AIRLINES

B GET QUALITY FOOD FROM PURITY FOODS LTD

C THERE IS NO SUBSTITUTE FOR COFFEE

D THE TRAIN FROM LAHORE TO KARACHI HAS BEEN DELAYED

20 A manufacturer wishes to promote a new electronic cash till.

Which advertising medium would be the **most** cost-effective?

A local commercial radio

B national commercial television

C popular daily newspapers

D trade journals

21 What is a 'loss leader'?

A a commodity sold at below cost price to attract customers

B a leading brand with a low profit margin

C a product entered in the stock records but missing from stock

D a slow selling item sold at below cost price to sell it quickly

22 What advantage does sea transport have over air transport?

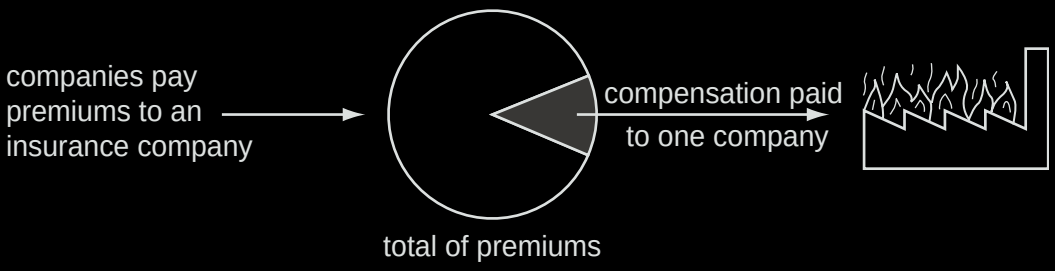
A bulk loads

B faster delivery

C faster turnaround of goods

D less risk of damaged goods

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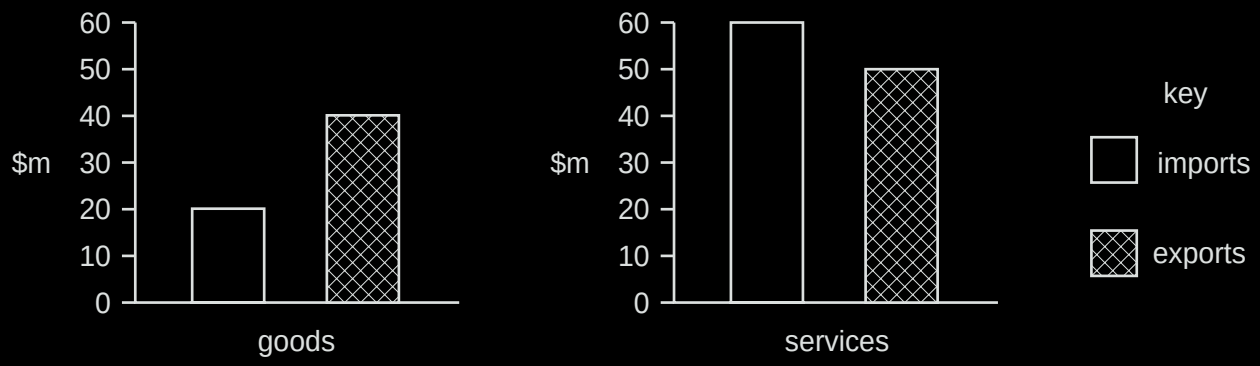
A arranging a policy

B assessing a risk

C insurable interest

D pooling of risks

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What is Country Y's balance of payments on its current account?

A –$10 m **B** +$10 m **C** +$20 m **D** +$110 m

31 Why do customs authorities collect statistics on foreign trade?

A to calculate the balance of trade

B to calculate the exchange rate

C to compare home trade with foreign trade

D to enable duties to be collected

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